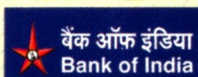


Auto Finance



Relationships beyond banking.

The performance of the Auto Industry is a reflection of the general economic conditions prevailing in a country. The demand for passenger vehicle depends on the purchasing power of the public and Income levels of the different sections of society. The demand for the vehicles are governed by competitive interest rates, easy access to financing, cheaper fuel prices and new launches entering the market.

During Financial Years 2005-08, auto industry sales volumes in general had a healthy growth led by buoyant economic activity, easy access to finance, in-house vehicle financing by auto players and host of new launches. The following figures/statistics give us a better insight:

Sales growth in %

Months	Cars	Commercial Vehicles	2- Wheelers
Nov 08	-19.4	-49.5	-14.7
Dec 08	-7.0	-58.3	-15.4
Jan 09	-3.2	-51.0	-4.0
Feb 09	21.8	-31.7	16.2
Mar 09	1.0	-26.2	3.7

Source: Society of Indian Automobile Manufacturers

Measures taken to revive demand of Auto Sector :

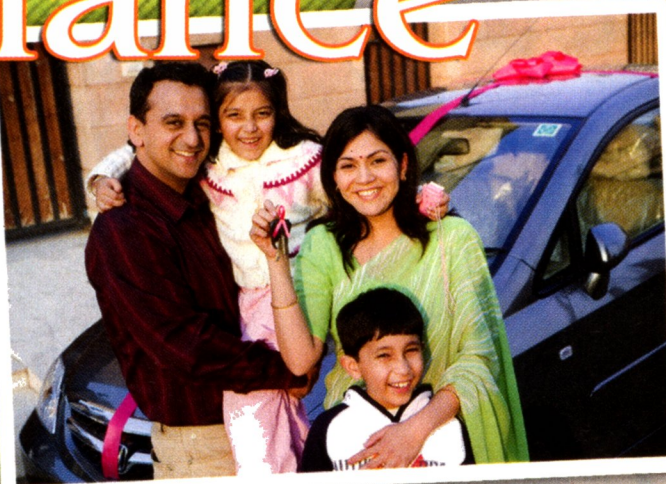
To boost demand in the economy, the Government has announced three stimulus packages. The specific measures pertaining to the automotive sector include:

- an across-the-board cut of 4% in the ad-valorem cess rate.
- Public Sector Banks (PSBs) to provide Line of Credit to Non-Banking Finance Companies (NBFCs).
- DEPB Scheme extended upto December 31, 2009.

Steps by Auto players and PSBs :

Steps taken by auto players to revive demand in the sector include:

- tie-up with banks (especially from PSBs) for vehicle financing,
- launch of vehicles catering to the needs of general public (targeting middle-class),
- enhancing quality standards,
- competitive prices,
- discount on select models.



The PSBs on their part have also introduced certain special schemes for auto finance and created a lot of awareness for their products. In recent months, this has enhanced the demand in various Auto Segments, mainly from rural areas where PSBs have quite a good number of branches.

Performance of Auto Industry in April' 09 :

Amidst the economic crisis, the Indian Auto Industry has managed to stay positive as the market grew. Though marginally by 0.7% to 97.2 lakh units in FY 2009 as against a total of 96.5 lakh units in FY 2008.

Increased availability of finance, mainly by public sector banks, and higher demand from rural areas has brought some cheer to auto industry in the first month of this fiscal (FY 2009-10). This was largely on account of two-wheelers, which saw sales jumping almost 14% to cross the 7,00,000 unit mark. Overall vehicle sales were just short of the 9,00,000 mark at 8,94,058 units (8,07,183 units), up 10.76%.

Sales growth in Nos.

Category	April 2009	April 2008	% change
Passenger cars	1,02,889	98,752	4.20
Commercial - Vehicles	29,842	33,626	-11.25
Three-Wheelers	27,524	27,066	1.69
Two-Wheelers	7,00,995	6,16,468	13.71

Source : Society of Indian Automobile Manufacturers

In the next few months, even though subdued demand will remain a challenge for the Automobile Industry, easy vehicle financing and improvements in consumer sentiments could drive moderate single digit growth in FY 2010.

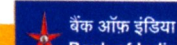
DRIVE HOME A CELEBRATION THIS FESTIVE SEASON

This festive season, Bank of India makes owning a vehicle a celebration for you. Star Autofin, our vehicle loan now comes at an attractive interest rate of 8.5% per annum with easy repayment options. Now make way for the festivities to begin.



www.bankofindia.co.in

- ★ Limited period offer upto 20th Oct. 09
- ★ Rate of interest for loans upto 10 lakhs with a repayment period of 3 years @ 8.5% p.a.
- ★ 50% waiver of processing charges
- ★ No hidden charges
- ★ Hassle free quick service
- ★ Loans for imported cars & used cars also



Relationships beyond banking.